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No. 97-303

Supreme Court, U.S.
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In The

Supreme Court of the United States

October Term, 1997

HUMANA, INC., and
HUMANA HEALTH INSURANCE OF NEVADA, INC.,

Petitioners,

v.

MARY FORSYTH, MARIETTA CADE,
WILLIE ANDREWS, MARY LOU BUEHLER,
HELEN STAVES, RANDOLPH BRATTON,
and SEARLE AUTO GLASS, INC.,

Respondents.

On Writ Of Certiorari To The United States Court Of Appeals For The Ninth Circuit

BRIEF ON THE MERITS FOR RESPONDENTS

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QUESTION PRESENTED

Whether RICO's authorization of treble damages and counsel fees for a "pattern" of insurance fraud "invalidates, impairs, or supersedes" Nevada's insurance regulatory scheme and Nevada's criminal and civil racketeering statutes under the McCarran-Ferguson Act.

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STATUTES AT ISSUE

This case concerns the Racketeer Influenced and Corrupt Organizations Act (RICO) 18 U.S.C. § 1951 et seq., and Section 2(b) of the McCarran-Ferguson Act (MFA), 15 U.S.C. § 1012(b). Relevant portions of RICO and the MFA are included within Appendix C of Humana's Petition for Writ of Certiorari.

STATEMENT OF THE CASE

A. Factual Background

In the early 1980's, Humana created Humana Insurance as a marketing "strategy to bolster Humana's market share in the new health care environment, in which fewer people are becoming hospital patients" and to "diminish an industry-wide reduction in census." CR 822, Ex. 48 (1986 Humana Annual Report, pp. 12-13).[1] Humana sought tens of millions of dollars in co-payments from patients requiring hospitalization to offset the "incremental cost" of otherwise empty hospital beds. The fantastic financial success of the scheme is demonstrated by the dramatic increase in the **combined** profits of the hospital and the insurer from $14,727,000 in 1985, to $23,053,350 in 1987, to $23,878,050 in 1988 and to $30,991,777 in 1989--a total profit increase of $33,741,103 in 1987 to 1989. JA-207.

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[1] Another Annual Report explained the "strategy to strengthen the hospital business has been to offer [Humana] insurance . . . thereby **directing patients into our hospitals**." CR 822, Ex. 79 (1988 Humana Annual Report), (emphasis added).

Under its group health insurance agreements, Humana Insurance agreed to pay 80% of the employees' hospital charges and the Co-Payors were obligated to pay the remaining 20%. JA-35. Unknown to the Co-Payors, Humana Insurance negotiated a discount with Humana Hospital Sunrise whereby Humana Insurance paid significantly less than its 80% co-pay share and the Co-Payors paid significantly more than the promised 20% copayment.[2] The secret discount varied during the class period but averaged 89%.[3] The difference between the 89% secret hospital discount that Humana Insurance got and the average 43.4% discounts that Humana Hospital gave to other group health insurers provided Humana Insurance $20,282,574.00 in illicit profit. JA-146.

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[2] The average charge for four days hospitalization was $5,000, making a 20% patient Co-Payor charge $1,000. After the secret discount, Humana Insurance paid only $550 -- not $4,000. CR 912 (7/21/93 Order, p. 19). The "incremental" cost to hospitalize a Co-Payor for one day was just $125. JA-181 Humana's Chairman correlated empty hospital beds to empty airline seats--if either is not used fixed costs remain--making the "incremental cost" of servicing the last passenger (or patient) minimal and the profit very high. CR 822, Ex. 96. **The $1,000 payment by the Co-Payor alone was double the entire $500 incremental cost of the four day hospitalization**; ensuring a healthy profit over the incremental cost without any payment from Humana Insurance.

[3] The discount started at 40% in early 1985, increased to 48% in late 1985, increased to 55.7% in early 1986 and then **retroactively** increased to 89.1% after year end 1986. JA-145, 146

During the four year class period, 30,597 Co-Payors used Humana Hospital and made co-payments to it. CR 822, Ex. 93. Humana sent each one of them an Explanation of Benefits ("EOBs") that falsely represented that Humana Insurance had paid 80% of the same bill that the Co-Payors paid.[4] Key Humana Insurance executives conceded that the contractual language "The Company will pay 80 percent of the covered expenses" was misleading. CR 822, Ex. 7.

The fraudulent billing scheme was a closely guarded secret: "[W]e never told [the Co-Payors] about any discount the hospital was giving to the insurance company that the insured would not get . . . ." CR 822, Ex. 6. Humana even concealed the scheme from its billing agent--Mutual Administrators, from its own insurance sales staff and from

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[4] EOBs explain hospital billings. In this actual EOB, Humana Insurance falsely claims that it "paid" 80% of the full charges:

MAJOR MEDICAL EXPENSES COVERED:	
PAYMENT DETERMINATION SUMMARY:	
17.00 @ 80.00% =	$13.60
TOTAL PAID:	$13.60
BENEFITS PAYABLE TO:	
Humana Hospital Sunrise	$13.60
TOTAL PAID:	$13.60.

(CR 822, Ex. 33)

80% of the gross charge ($13.60 above) was "paid" by check from Humana Insurance to Humana Hospital. After the secret discount was transferred back, Humana Insurance actually expended $1.87 (11% of the $17 charge), less than the $3.40 paid by the Co-Payor.

regional hospital administrators – who all thought the co-payment was based upon discounted charges.[5] Other Nevada health care insurers, e.g., Blue Cross, passed along negotiated hospital discounts to their Co-Payors. CR 822, Ex. 55.

To prevent discovery by governmental regulators, Humana Insurance pretended to "pay" the non-discounted hospital charges by writing checks to Humana Hospital. CR 927, Ex. 3 at pp. 84, 550-51. For years, Humana Hospital then remitted the secret discount to Humana Insurance through monthly inter-company ledger transfers. CR 822, Ex. 40 at pp. 41-42. When the billing fraud was finally exposed by the media in 1987, Humana issued a press release falsely claiming that the Co-Payors had only been billed discounted charges. CR 822, Ex. 24. The District Court found that Humana Insurance "specifically intended to mislead or deceive Plaintiffs" by agreeing to 80%/20% payments on hospital bills while, in reality,

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[5] Mutual Administrators did the hospital billings for Humana but was not told about the secret discounts. CR 822, Ex. 19. The Humana Insurance VP responsible for the national sales force was not told of the co-payment scheme. CR 822, Ex. 7. The first Nevada insurance sales manager erroneously believed that the co-payment was calculated on the discounted hospital charges. CR 822, Ex. 13. The leading insurance salesman first learned that the Co-Payors did not get discounts from a 1987 newspaper article exposing the billing fraud. CR 822, Ex. 14. Even Humana Hospital's Assistant Regional Manager for the Pacific Regional office (including Las Vegas) was tricked into believing the co-payments were based on discounted charges. CR 822, Ex. 16.

Humana Insurance negotiated a secret 89% discount from Humana Hospital for itself and no discount whatsoever for the Co-Payor Class. CR 912 (7/21/93 Order, 44, 45).

The Attorney General of the State of Nevada commenced an investigation of the billing fraud and prepared a draft criminal complaint that alleged that the co-payment billings in 1986 were violations of the Nevada state racketeering laws.[6] Deputy Attorney General Barlow specifically testified that the billing fraud was encompassed by the Nevada RICO statute.[7] Over Barlow's strenuous objections, Humana short-circuited the criminal case by persuading the Insurance Commissioner to execute a consent degree that imposed a paltry $50,000 fine on Humana and eliminated the proposed criminal RICO charges without refunding one red cent to any defrauded Co-Payor.[8] Respondents vehemently dispute the position of

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[6] CR 182 (Plaintiffs' Filing Of Supplemental Exhibit In Opposition To Defendants' Motion To Dismiss filed on April 27, 1990, Deposition of Deputy Attorney General Gregory Barlow, Ex. 9). "Count V - Racketeering," alleged that Humana Hospital and Humana Insurance "conduct[ed] directly and indirectly, the affairs of the enterprise through racketeering activities." *Id.*

[7] *Id.* (Barlow Deposition, p. 86) ("Within the provisions as we found them it was clear to me it could be done under a fraud reference which was referenced in the racketeering statutes.")

[8] *Id.* (Barlow Deposition, pp. 89, 90) ("Q. Was it your feeling, your opinion that Mr. Gates [the State Insurance Commissioner] was pressuring you with that consent order to stop your investigation? A. He was ordering me to stop.

various amici that a $50,000 fine assessed to a fraud that produced increased profits of $33,741,103 demonstrates either adequate or effective state regulation.[9]

30,597 Co-Payors during the class period were

I contacted Mr. Kennedy [Humana counsel] and asked him what in the hell was going on. He confirmed Mr. Gates' information that the consent order was there; that they [the Humana entities] were not going to sign it until such time as the criminal investigation was stopped for fear of that being used against them in a prosecution.")

[9] *See* Amici Curiae Brief of Alliance of American Insurers, et al., at 18-22. The fact that the Nevada Attorney General prepared a state RICO criminal complaint to address the exact same billing fraud underlying this federal RICO civil complaint guts the Alliance's claim that "Nevada has specifically chosen to punish insurer fraud in a different manner than RICO mandates . . . ." *Id.* at 21. Similarly, *In re: Prudential Ins. Co. of Amer. Sales Practice Litig. Agent Actions*, 1998 U.S. App. LEXIS 17057 (3rd Cir. 1998), actually illustrates that private litigation is the primary watchdog that wakes up state regulators. The *Prudential* court observed that Prudential's illegal activities first came to light through private lawsuits filed in early 1994, which triggered a front-page news article. *See* Leslie Scism, *Fine Print Victims: Some Agents 'Churn' Life Insurance Policies, Hurt Their Customers*, WALL ST. J., Jan. 3, 1995, at 1. In April 1995, more than a year after the first private suit, the Multi-State Life Insurance Task Force was reported. *Prudential* and the present case prove that private claims for relief are absolutely crucial to ensure that victims of insurance fraud receive restitution.

patients at Humana Hospital. They paid Humana over $5,000,000.[10] These Co-Payors seek RICO damages for the difference in their actual co-payments and co-payments calculated upon discounted hospital charges.

After the fact refunds of recalculated co-payments based on the 89% discount provide no compensation for Co-Payors who declined or moderated medical treatment because of co-payment over-charges.[11] All 84,000 Co-Payors also seek RICO damages as compensation for the hospital usage discouraged or prevented by the excessive

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[10] The $5 Million figure includes $3 Million based on Humana's assertion that 3,003 (i.e., 16,412 minus 13,409) of the Co-Payors paid $1,000 but had hospital bills so high that the $1,000 deductible was exceeded even if the discount was applied. CR 937. Another $2 million comes from Humana's initial claim that $2,009,378 million was due to the 13,409 other Co-payors. *Id.*

[11] Increasing the required co-payment by failing to provide the discount when Co-Payors were actually charged dramatically **decreased** utilization of medical benefits. *See Kennedy v. Connecticut Gen. Life Ins. Co.*, 924 F.2d 698 (7th Cir. 1991) (recognizing that "Co-payments sensitize employees to the costs of health care, leading them not only to use less"); *Kansas Hosp. Ass'n v. Whiteman*, 835 F. Supp. 1556, 1566 (D. Kan. 1993), *aff'd, sub nom. Williams v. Whiteman*, 36 F.3d 1106 (10th Cir. 1994) (observing that "Congress generally approves and even encourages participating states to impose required [Medicare] co-payments . . . as a means of controlling utilization").

co-pay charge.[12]

B. Procedural History

Respondents accept the procedural history as presented by Petitioners.

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[12] The excessive hospital co-payment reduced hospital usage in two fundamental ways. First, by over-charging Co-Payors, Humana made the co-payment charges for specific services proportionately greater for each prospective co-payment. For example, if a hysterectomy costs $2,500, Humana's co-payment charge was 20% of $2,500 or $500. If the 89% discount is applied to the co-pay and retro-actively refunded, a hysterectomy would only have cost $275 with a $55 co-pay. By demanding $500 instead of $55 as the co-payment charge, Co-Payors were discouraged from using medical benefits. Second, the co-pay over-billing took away monies from the Co-Payors that were otherwise available for additional hospital treatment. In the hysterectomy example, if the $55 co-payment based on the discount had been charged instead of $250, the Co-Payor would have almost $200 left available for further medical treatment. **Even moderate over-charges to Co-payors greatly reduced benefit usage**. *Lacey v. Cohen*, 596 F. Supp. 1010, 1018 (E.D. Penn. 1984) (concluding that "imposition of recipient copayment decreases the overall utilization of medicaid services. . . . . **requiring individuals to meet even a nominal assessment for medically necessary goods and services forces those individuals to economize, and sometimes to forego treatment**"), *aff'd,* 774 F.2d 1152 (3rd Cir. 1985) (emphasis added).

SUMMARY OF ARGUMENT

The McCarran-Ferguson Act ("MFA") preempts the application of federal laws of general applicability to the business of insurance only when such federal laws "invalidate, impair, or supersede" state insurance law.[13] The interpretation and application of this phrase has created a rift between the circuits – one faction finding MFA preemption triggered only by a "direct conflict" between federal and state law, and the other deeming federal law preempted merely by potential upset to the balance of a state enforcement scheme (i.e. "inverse field preemption" given state law is preempting federal law).

As this Court recently summarized in *English v. General Electric Company*, 496 U.S. 72, 78-79 (1990), preemption may take one of three (3) forms: field preemption, express preemption, or direct conflict preemption. Respondents contend that the simple legal issue before the Court is whether direct conflict preemption or field preemption applies. Humana seeks to avoid proper preemption analysis by arguing that the MFA is not

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[13] Courts generally apply a four part test to determine whether the MFA operates to preclude the application of a federal law not expressly addressed by the MFA. If 1) the federal statute does not "specifically relate" to the business of insurance; 2) the challenged acts constitute the business of insurance; 3) the state has enacted laws to address the challenged acts; and 4) the application of the federal law would "invalidate, impair, or supersede" the state law, then the federal law may not be employed. *Department of the Treasury v. Fabe*, 508 U.S. 491, 515 (Kennedy, J., dissenting). Only the fourth prong is at issue in this case.

appropriately viewed under a preemption microscope and broadly asserting that the MFA per force precludes the application of RICO – or any federal remedy – to the business of insurance. Although Humana purports to disclaim applicability of field preemption analysis to MFA interpretation, when distilled, Humana's argument constitutes field preemption, contending that Congress, by enacting the MFA, intended to cede the field of insurance regulation to the states to the complete exclusion of all federal remedies.[14]

The RICO claims asserted herein by Respondents are not preempted by the MFA because they do not conflict with Nevada's state laws. RICO's policies, requirements

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[14] Though Humana cloaks its argument in an anti-preemption disguise, its basis in field preemption is manifest. The crux of Humana's position is that the MFA precludes the application of **any** federal statute with an independent remedy where a state insurance regulatory system has been enacted. *See* Petitioner's Brief on the Merits at 20-27. An interpretation this broad would necessarily preclude the application of all federal regulations -- civil **and** criminal. Accordingly, Humana is effectively interpreting the "invalidate, impair, or supersede" clause out of the MFA and advocating inverse field preemption of any federal law applicable to the business of insurance, if there is **any** state insurance regulation (unless Congress has expressed an explicit intent to the contrary). This clearly constitutes field preemption. Humana basically admits as much when it states: "if a federal preemption analysis were to be adopted . . . 'field' preemption . . . would appear to be the better analogy. . ." *Id.* at 14.

and remedies are consistent with, and merely supplement -- not supplant -- those embodied by Nevada's state regulatory scheme. This Court's jurisprudence clearly teaches that such consistent co-application of state and federal laws is not only permissible, but preferred. Moreover, in light of the contemporary pervasiveness of insurance fraud and the need for comprehensive remedies therefor, coupled with the reality that MFA preemption of RICO herein would also preclude application of RICO's criminal penalties to insurance fraud, public policy implores this Court to endorse the direct conflict test and affirm the Ninth Circuit's holding.

The Ninth Circuit decision should be affirmed for two distinct reasons: First, the fact that the direct conflict test applies and RICO does not "invalidate, impair, or supersede" Nevada's insurance laws is manifest by the express language and structure of the MFA, traditional rules of statutory interpretation, the legislative intent behind RICO and the MFA, this Court's precedent, and strong public policy concerns. Second, given that the Nevada Attorney General applied Nevada state criminal RICO to the exact same fraudulent conduct by Humana, the federal RICO claim asserted herein could never "invalidate, impair, or supersede" Nevada law in this specific case under either the "direct conflict" or "field preemption" analysis. *See Chevron USA, Inc. v. Natural Resources Defense Council, Inc.*, 467 U.S. 837, 842-45 (1984) ("considerable weight should be accorded to an executive department's construction of a statutory scheme").

ARGUMENT

A. The McCarran-Ferguson Act Preempts the Application of Federal Laws Only to the Extent that they Directly Conflict with State Regulatory Schemes

1. The Express Language of the McCarran-Ferguson Act Demonstrates That Congress Did Not Intend to Cede the Entire Field of Insurance Regulation to the States.

"The starting point in a case involving construction of the McCarran-Ferguson Act, like the starting point in any case involving the meaning of a statute, is the language of the statute itself." *Department of the Treasury v. Fabe*, 508 U.S. 491, 500 (quoting *Group Life & Health Ins. Co. v. Royal Drug Co.*, 440 U.S. 205, 210 (1979)). Section 2(b) of the MFA, particularly the interpretation and application of the phrase "invalidate, impair, or supersede" is paramount in the instant case. Section 2(b) provided a rule for the construction of future acts of Congress: they shall not be construed to "invalidate, impair, or supersede" any law enacted by any state to regulate the business of insurance or impose a tax on it unless the act of Congress specifically relates to insurance. Under this interpretive rule, state law must give way to federal law, regardless of conflicts, when Congress expressly so provides.

When Congress does not expressly so provide, the MFA precludes the application of federal laws to the business of insurance only when they "invalidate, impair, or supersede" state insurance statutes. By this prong, Congress expressly limited MFA preemption to these particular instances, evidencing a clear intent not to vest in

the states exclusive control and regulation of the insurance business. "Had Congress intended to cede the field, it could have [simply] said: 'No federal statute shall be construed to apply to the business of insurance.'" *Merchants Home Delivery Serv., Inc. v. Frank B. Hall & Co., Inc.*, 50 F.3d 1486, 1492 (9th Cir. 1995). However, by selecting and including these particular terms, Congress manifested a clear desire for the continued validity and applicability of federal laws to the insurance industry unless they effect an invalidation, impairment or supersession of a state insurance law, and Congress thereby implicitly recognized the lack of wholesale preclusion of federal laws in the field of insurance.

Petitioners argue that the term "impair" predominates and perverts the meaning of the entire phrase as to "lessen[] the force or significance of." Petitioners' Brief at 21. This approach thrice errs. First, it eliminates the "invalidate" or "supersede" terminology. Second, it flies in the face of *Shaw v. Delta Air Lines, Inc.*, 463 U.S. 85, 108 (1983), in which this Court construed the meaning of the term "impair" in the context of ERISA preemption of state laws relating to employee benefits[15] and concluded

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[15] The Court's focus was the definition of "impair," however, it is noteworthy that the entire preemption clause at issue in *Shaw* included the identical phrase "invalidate, impair, or supersede." *Shaw*, 463 U.S. at 101. The words "invalidate," "impair" and "supersede" express the same concept as "interpose" or "contravene" when used in general preemption cases. *See, e.g., Southern Pac. Co. v. Jensen*, 244 U.S. 205, 216 (1917) ("interpose" and "contravene"); *cf. Chevron U.S.A., Inc. v. Hammond*, 726 F.2d 483, 488 (9th Cir. 1984), *cert. denied*, 471 U.S. 1140

that "impair[ment]" or preemption occurred "only insofar as [the state law] prohibit[ed] practices that [we]re lawful under federal law" – or where the two directly conflicted. Thus, under this Court's established jurisprudence, "impair" should be ascribed a far more limited definition than suggested by Petitioners. *See also United States v. Southeastern Underwriters Ass'n.*, 322 U.S. 533, 587 (Jackson, J., dissenting) (citing *Terminal R.R. Ass'n v. Brotherhood of R.R. Trainmen*, 318 U.S. 1, 7 (1943) and stating "when power is exercised by Congress, it **impairs** state regulation **only** insofar as it **actually conflicts** with Federal regulation") (emphasis added). Third, as the legislative history of the MFA proves, the terms "invalidate, impair or supersede" were used interchangeably.[16] Unlike Petitioners, the drafters did **not** attach independent (or incompatible) meanings to each word. Hence, the literal language of the MFA supports the "direct conflict" test instead of "field preemption."

(1985) ("superseded").

[16] Implicitly rejecting the argument that the word "impair" could be relied upon to bootstrap a "field preemption" test into the MFA, the senators did **not** ascribe independent meaning to each word in the key phrase; instead, they interchangeably used one or more words as shorthand for the series. *See* 91 CONG. REC. at 485 (1945) (Senator Taft: "invalid"), 486 (Senator Revercomb: "invalidate"), 486 (Senator Murdock: "impair or invalidate"), 487 (Senator Radcliffe: "invalidate").

2. The Structure of the McCarran-Ferguson Act Also Indicates That Congress Did Not Intend to Preempt All Federal Regulation of the Insurance Industry.

The basic structure of the MFA disproves any Congressional intent to effect a field preemption of all federal regulation of the insurance industry. *See United States v. Turkette*, 452 U.S. 570, 583, 593 (1981) (stating that the Court can rely on statutory structure to determine legislative meaning). This Court has repeatedly acknowledged that "statutory interpretations that 'render superfluous other provisions in the same enactment' are strongly disfavored." *National Endowment for the Arts v. Finley*, __ U.S. __, 118 S. Ct. 2168, 2189 (1998) (Souter, J., dissenting) (quoting *Freytag v. Commissioner*, 501 U.S. 868, 877 (1991)). To read the "invalidate, impair, or supersede" clause of Section 2(b), as Petitioners suggest, to preclude the application of **all** federal laws when the other three prongs have been satisfied renders the anti-trust clause redundant or superfluous in violation of these elementary tenets of statutory construction. If all federal laws are preempted by the statute, the federal anti-trust laws are also precluded. Accordingly, in order for the MFA anti-trust clause to have full force and effect, Section 2(b) must be read so as to not preempt the application of all federal remedies to the insurance business.

Similarly, the MFA's statement that none of its provisions "shall be construed to affect in any manner the application" of the National Labor Relations Act, the Fair Labor Standards Act of 1938 and the Merchant Marine Act to the business of insurance, *see* 15 U.S.C.A. § 1014, is additional evidence that Congress did not effect field preemption of all federal laws to the business of insurance.

This express exception necessarily implies that, in enacting the MFA, Congress merely intended to affirm the states' continued ability to regulate the insurance industry, not to surrender the entire field of insurance regulation to the states.

3. This Court's Adoption of the Direct Conflict Test for Impairment, Invalidation and Supersession.

The proper application of the fourth prong of the MFA was first addressed by this Court in *Securities Exchange Commission v. National Securities, Inc.*, 393 U.S. 453 (1969), which determined whether the MFA preempted the application of federal securities laws to a proposed merger between two insurance companies previously sanctioned by the Arizona State Director of Insurance. Finding all other prongs of the MFA satisfied, Justice Marshall, writing for the Court, framed the central question as "whether the MFA bars a federal remedy which affects a matter subject to state insurance regulation." *National Securities,* 393 U.S. at 462. This Court expressly rejected the argument that "**any** [federal] attempt to interfere" with state regulated insurance activities would "invalidate, impair or supersede" the state laws, deeming such application of the MFA an "overly broad restriction on federal power." *Id.* at 463 (emphasis added).

This Court juxtaposed the federal and state remedies in question and focused on their ability to co-exist without conflict because the "paramount federal [and state] interest[s]" were "perfectly compatible and Arizona ha[d] not commanded something which the Federal Government [sought] to prohibit." *Id.* "In these circumstances," penned Justice Marshall, "we simply cannot see the **conflict**." *Id.*

National Securities endorsed the "direct conflict" test for "invalidat[ion], impair[ment] or superse[ssion]" that was properly employed by the Ninth Circuit in the instant case.

This Court revisited the application of the MFA's fourth prong in *Department of the Treasury v. Fabe.* Though primarily deciding whether the state law was enacted "for the purpose of regulating the business of insurance," *Fabe* observed that the fourth prong was satisfied because "there is a **direct conflict** between the federal" and state laws. *Id.* Additionally, in explaining the intended application of the MFA, this Court stated:

> Ordinarily, a federal law supersedes any inconsistent state law. The first clause of § 2(b) reverses this by imposing what is, in effect, a clear-statement rule, a rule that state laws enacted "for the purpose of regulating the business of insurance" do not yield to **conflicting** federal statutes unless a federal statute specifically requires otherwise.

Fabe, 508 U.S. at 507 (emphasis added).[17] This language

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[17] *Fabe's* four-Justice dissent strongly implied that "invalidate, impair, or supersede" means "conflict":

> The first clause of § 1012(b) is directed to the States and provides that state laws enacted for the purpose of regulating the business of insurance are saved from pre-emption if there is no **conflicting** federal law which relates to the business of insurance.

further affirms this Court's adherence to the "direct conflict" test to determine whether a federal law "invalidate[s], impair[s] or supersede[s]" state insurance law.

National Securities and *Fabe* eliminate any valid contention that the MFA effects a "field preemption." Because this Court has never considered whether the MFA precludes the application of RICO to insurance fraud merely because of the existence of some state insurance regulatory scheme, it should clarify that the "direct conflict" test is also applicable in RICO cases. The MFA does not preclude civil remedies under federal RICO in this case because there is no "direct conflict." This is further evidenced by Nevada's private insurance cause of action and state RICO penalties applicable to the targeted insurance fraud.

4. *McCarran-Ferguson Act Preclusion of Federal Laws Is Properly Analyzed Under a Traditional Preemption Framework.*

Instead of the uncharted quagmire to which Humana leads the Court, the MFA's preclusive effect on federal laws should be analyzed under a traditional preemption framework. As stated *supra*, the MFA springs from Congress' post-*Southeastern Underwriters* reaction to state fear that, absent legislation, state insurance laws would be trumped by federal laws under general Supremacy Clause jurisprudence. As this Court recognized in *National Securities* and *Fabe*, Congress' intent in cases of conflict

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Fabe, 508 U.S. at 515 (Kennedy, J., dissenting) (emphasis added).

was to reverse the preemption process and make state insurance laws supreme to federal laws of general applicability in prescribed circumstances. *National Securities*, 393 U.S. at 458-59; *Fabe*, 508 U.S. at 507. Thus, logic dictates that this legislative rule reversal does not relieve the MFA of its preemptive character and origin but instead requires that the MFA be viewed under a preemption lens focused by this Court's Supremacy Clause jurisprudence.[18]

As demonstrated *supra*, the MFA does not effect an inverse field preemption because the express language of the statute leaves room for the application of federal laws to the insurance industry. Along that same line, the "invalidates, impairs, or supersedes" language of the MFA does not explicitly pre-empt federal RICO and thus, no express preemption has occurred. This necessarily leaves only a conflict preemption analysis whereby federal RICO will be preempted by the MFA only "to the extent that it actually conflicts with federal law." *English*, 496 U.S. at 79; *see also Fabe*, 508 U.S. at 502.

This Court's statements in *National Securities* stand as testament to the propriety of the inverse preemption approach to MFA fourth prong analysis. Standard conflict preemption exists "where it is impossible for a private party to comply with both state and federal requirements."

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[18] The MFA "is a form of inverse preemption, so principles defining when state remedies conflict with (and so are pre-empted by) federal law are pertinent in deciding when federal rules 'invalidate, impair, or supersede" state rules." *NAACP v. American Family Mut. Ins. Co.*, 978 F.2d at 287, 296.

English, 496 U.S. at 79 (citing *Florida Lime & Avocado Growers, Inc. v. Paul*, 373 U.S. 132, 142-43 (1963)). This Court's fourth prong ruling in *National Securities* resulted from the understanding that "Arizona ha[d] not commanded something which the Federal Government s[ought] to prohibit," and thus, it was not impossible for a private party to simultaneously comply with the state and federal demands. *National Securities*, 393 U.S. at 463. *Fabe* expressly teaches that "federal law must yield only to the extent" that it conflits with state law. 508 U.S. at 502 (emphasis added). This nomenclature necessarily reveals this Court's recognition of the MFA as inverse conflict preemption, precluding the application of federal remedies to the business of insurance only when concurrent compliance with both state and federal requirements is physically impossible.

5. Treatment of McCarran-Ferguson Act Preemption of RICO by the Courts of Appeals.

While *National Securities* and *Fabe* are of primary import, it is telling that most Courts of Appeals have applied a "direct conflict" test. In cases involving federal statutes other than RICO, the First and Seventh Circuits have adopted the direct conflict approach to MFA fourth prong analysis to find no MFA preemption when the federal law and state administrative scheme merely overlap.[19]

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[19] *See Villafane-Neriz v. Federal Deposit Ins. Corp.*, 75 F.3d 727, 736 (1st Cir. 1996) (holding that lack of direct conflict between FDIC and Puerto Rico Insurance laws precluded application of MFA); *American Family*, 978 F.2d at 297 (reasoning that "[d]uplication is not conflict," and

Regarding RICO, The Third, Sixth, Eighth and Ninth Circuits have all addressed the effect of the MFA on attempts under federal RICO to combat insurance fraud in conjunction with a state administrative scheme. Relying upon *National Securities*, the Third and Ninth Circuits interpreted the fourth prong of the MFA to preclude the application of federal laws only when they directly conflict with or cannot co-exist with the state law. *See Sabo v. Metropolitan Life Ins. Co.*, 137 F.2d 185, 193 (3rd Cir. 1998); *Merchants*, 50 F.2d at 1491-92. Because the intent and application of RICO and the state schemes at issue in these cases were consistent with one another, these courts concluded that the MFA did not "invalidate, impair or supersede" state law and permitted the simultaneous application of RICO and state laws to fraudulent insurance practices. *See Sabo*, 137 F.2d at 194; *Merchants*, 50 F.3d at 1492.

The Eighth Circuit and, arguably, the Sixth Circuit,[20] have generated an improperly expansive application of the MFA, theorizing that RICO is preempted

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concluding that the MFA does not preclude application of the Federal Truth in Lending Act to insurance activity).

[20] Petitioner erroneously contends that the Fourth Circuit rejects the "direct conflict" test based on the summary affirmation of *Ambrose v. Blue Cross & Blue Shield of Va., Inc.*, 891 F. Supp. 1153 (E.D. Va. 1995), *aff'd* 95 F.3d 41 (1996), an unpublished decision lacking any precedential value. The Fourth Circuit's only published interpretation of the "invalidate, impair, or supersede" clause is *Mackey v. Nationwide Ins. Cos.*, 724 F.2d 419, 421 & n.2 (4th Cir. 1984), using language which embraces a "direct conflict" approach to MFA preemption.

without "direct conflict" because application of RICO's substantial remedial provisions to the insurance business somehow upsets the balance of the state administrative system by luring policy holders away from the state insurance commissioner's office and into federal court.[21] In reaching this conclusion, these courts erroneously ignored this Court's articulation and reaffirmation of the direct conflict test to adjudge whether RICO – or any other federal law of general applicability – is preempted under the MFA. *See Doe*, 107 F.3d at 1307 (quoting the "conflict" language of *National Securities* but finding "impairment" of Minnesota's delicately balanced regulatory scheme by

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[21] *See Doe v. Norwest Bank Minn., N.A.*, 107 F.3d 1297, 1306 (8th Cir. 1996); *Kenty v. Bank One, Columbus, N.A.*, 92 F.2d 384, 392 (6th Cir. 1996). Although the *Kenty* Court arrived at the same ultimate holding, the Court's analysis suggests that the MFA was triggered due to a "direct conflict" between RICO and the Ohio state law. *See Kenty*, 92 F.3d at 392 (noting that, under the Ohio scheme, "applying RICO to insurance companies would subject them to a different standard of behavior than the one envisioned by Ohio"). Thus, *Kenty* is more consistent with the direct conflict approach than "field preemption."

Kenty is also wrongly decided from another perspective. The Sixth Circuit panel failed to recognize the existence of Ohio's RICO statute, which authorizes treble damages for insurance fraud based on a federal standard of fraud. *See* OHIO REV. STAT. §§2923.31(I), 2923.34(B); *State v. Schlosser*, 681 N.E. 2d 911, 913 Ohio (1997) ("based on federal RICO statute").

RICO's "extraordinary," yet non-conflicting remedies).[22]

6. The "Direct Conflict" Approach is Consistent with Legislative History and the Intent of Both the McCarran-Ferguson Act and RICO.

Application of the "direct conflict" approach to conclude that the MFA does not automatically preempt the application of RICO to insurance fraud is also consistent with the legislative history of the MFA and the clear Congressional intent that the MFA be narrowly construed while RICO is given broad application.

a. The legislative history of the McCarran-Ferguson Act

The MFA is best understood in the context of the history of the insurance industry itself. Various segments of the insurance industry have historically been rife with fraud. *See generally*, 21 BRITANNICA, *Insurance*, 741-54 (15th ed. 1995). "As early as 1866, the insurance trade, though still in its infancy was subject to widespread abuse." *Southeastern Underwriters*, 322 U.S. at 544. Many of the early property insurance companies failed from speculative investments, poor management, and an inadequate distribution system. Little effective regulation existed and rate making was problematic and lacking sound basis.

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[22] *See also Ambrose*, 891 F. Supp. at 1164-68 (providing an extensive discussion of fourth prong application to RICO without a single reference to *National Securities* or *Fabe*).

The life insurance industry faced similar problems. After the Civil War, unearned dividends were improperly declared, reserves were inadequate and advertising claims were exaggerated. Between 1870 and 1872, thirty-three life insurance companies failed. Forty-eight more fell from 1873 through 1877. The call for the curtailment of these abuses resounded.

Given the industry's current purported penchant for state regulation, it is ironic that insurers initially cited federal power over commerce to fight state regulation; state legislative efforts were generally upheld by this Court. *Id.* at 584 (Jackson, J., dissenting) (citing *Paul v. Virginia*, 75 U.S. (8 Wall.) 168 (1868)). Compounding the ironies, the industry actually requested federal regulation as a tactic to avoid more onerous state regulation. *See, e.g., id.* at 594 n.17 (Jackson, J., dissenting) (quoting Louis D. Brandeis).

This Court's decision in *Southeastern Underwriters* marked a turning point in the history of the regulation of the business of insurance, conclusively establiishing that it was interstate commerce and making the Sherman Act's provisions against restraint of trade fully applicable to insurers. Insurers feared that the end of the world was upon them. *See Note*, 23 CHI.-KENT L. REV. 317, 320 (1945) (collecting insurance industry comments and tracing the legislative history of the MFA).

During the 91st congressional session, unanimous agreement was quickly reached that state regulation and, most importantly, state taxation of the insurance industry had to be safeguarded. *See, e.g.*, 91 CONG. REC. 1092 (1945) (statement of Rep. Springer: "The states do not know what to do with respect to the collection of taxes and the insurance companies do not know what to do with

respect to the payment of taxes"). That taxation was the driving force for preservation of state regulation renders hollow Petitioner's grandiose claim that the MFA was really motivated by some sort of desire to allow states to continue regulating unsavory insurer conduct or provide policy holders with adequate "remedies afforded for violation of the norms set by the states." Petitioners' Brief at 26. In fact, the complete absence of such statements of legislative intent strongly suggests that no "field preemption," which would be triggered merely by state taxation, was contemplated for any future federal legislation redressing insurer misconduct.

The resulting enactment of the MFA was a compromise[23] fashioned by a conference committee that mediated between two broad factions in Congress: one, principally in the House, sought industry exemption from federal regulation, especially antitrust statutes; the other, principally in the Senate, sought substantial oversight of the industry by the federal government, especially through the antitrust statutes.

Support for application of the "direct conflict" test in this case is found in the legislative history of the genesis of the phrase: "invalidate, impair or supersede." Participants in the Senate debate defined the broad issue as one of potential "conflicts" between state and federal law. Influential Senators rejected application of the Act as "field preemptive," particularly with respect to the Sherman Act and the Clayton Act. *See* CONG. REC. 1478-81 (1945)

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[23] For a discussion of the development of the compromise, see 91 CONG. REC. 1484 (statements of Senator Murdock).

(statements of Senators Pepper and Murdock).[24]

For some Senators, exemption was out of the question. Senator Ferguson, for example, frankly acknowledged that his bill (S.340), as then drafted, was **not** designed simply to return the law to its pre-*Southeastern Underwriters* status. 91 CONG. REC. 478 (1945). Consistent with Ferguson's view, in the Senate debates, **the "invalidate, impair, or supersede" clause -- the crucial language now at issue – was described as a "catchall" provision specifically designed to encompass other acts of Congress that the drafters could not foresee at the time of the bill's drafting:**

> It is no secret that Senate bill 12, introduced by the Senator from New Mexico [Mr. Hatch] and myself, and Senate bill 340, the bill which was reported by the committee, are modifications of a measure which was

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[24] For other "conflict" references, see 91 CONG. REC. 479 (1945) (Senator Ferguson), 482 (President Roosevelt), 484 (Senator Taft) 486 (Senator Revercomb) and 487 (Senator Ellender).

The state insurance commissioner's proposed bill, which was the immediate source of "invalidate, impair, or supersede" in the MFA, was expressly "designed to eliminate or at best minimize **conflict** between State laws and existing or future acts of Congress...." PROCEEDINGS OF THE SEVENTY-SIXTH ANNUAL SESSION OF THE NATIONAL ASSOCIATION OF INSURANCE COMMISSIONERS, 35 (Dec. 4, 1944) (emphasis added). Clearly, the MFA was not designed to enact "field preemption."

originally drafted by the legislative committee of the National Association of Insurance Commissioners. So there was an effort to work with those groups. In drafting those two bills we sought to spell out each particular law which might apply to insurance. We referred specifically to the Federal Trade Commission Act, the Robinson-Patman Act, the National Labor Relations Act, and the Fair Labor Standards Act. In other words, a good-faith attempt was made to specify every single law which had an application, or might have an application, to insurance.

> **Section 2 (b) was drafted and written into the bill which I introduced, in the belief, not that it would be interpreted as an additional exemption from the anti-trust laws, but that it would be a sort of catch all provision to take into consideration other acts of Congress which might affect the insurance industry, but of which we did not have knowledge at the time. . . .**

91 CONG. REC. 483 (1945) (statement of Senator O'Mahoney) (emphasis added). This drafter's statement that Section 2(b) was a "catch all" applicable to other federal laws rebuts any claim of field preemption.

The House representatives did not view the issue solely or principally as one of "conflict." Because the focus of the House was an exemption, comments of its members typically did not address and shed no light on the

"invalidate, impair or supersede" clause. *See, e.g.*, 91 CONG. REC. 1090 (1945) (Rep. Gwynne: "we are as far as possible removing ourselves from the field").[25]

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[25] Petitioners misplace reliance upon this one errant phrase by Rep. Gwynne. *See* Petitioners' Brief at 14. While it was surely Gwynne's desire to get an exemption, it was not the objective of the Senate or the ultimate compromise adopted by Congress. The procedural history of the MFA further reveals the limited significance of the House's initial exemption position, exemplified by Gwynne's comment. At the behest of the insurance industry, the House actually passed legislation in anticipation of the *Southeastern Underwriters* decision to exempt insurance from federal regulation. *See* H.R. 3270, 78th Cong., 1st Sess. (1943); 90 CONG. REC. 6565 (1944) (283 to 94). Vigorous and successful opposition by Senator O'Mahoney, a progressive and New Deal Reformer, killed the legislation in the Senate. *See* TIME, Dec. 13, 1943, at 82; NEW REPUBLIC, May 29, 1994, at 378. *See also Southeastern Underwriters* 322 U.S. at 591 n.12 (Jackson, J., dissenting) (quoting conclusions of Senator O'Mahoney on concentration of economic power and abuses of business). *Southeastern Underwriters* was then decided, and the new 91st Congress addressed the issue. Contrary to Rep. Gwynne's wishes, the revised legislation did not provide an exemption. As the critical O'Mahoney quote demonstrates, Congress did not remove itself from the field, it only limited its power, unless specifically stated in the MFA or the piece of legislation, to avoid superseding or impairing state legislation. The fact that Petitioners' argument is anchored squarely on the rejected House exemption position demonstrates its infirmity.

Compromise was ultimately reached in both bodies, *see* 91 CONG. REC. 1396 (1945) (House) ("substitute for both the Senate bill and the House amendment"); *id.* at 1489 (Senate), and the conference report was adopted by a vote of 68 to 8. *Id.* at 1489. No faction had obtained all that it desired in the MFA. Neither the insurance industry nor Rep. Gwynne obtained the coveted general exemption from federal law. On the other hand, assuming the states acted to regulate the industry, the antitrust statutes were not to be made fully applicable thereto, but the prohibition against boycotts, coercion and intimidation was left in place. Federal labor law was also expressly left in place. For other federal laws, if Congress spoke clearly, federal law remained controlling regardless of state action, even if directly conflicting. If Congress did not expressly speak, actual conflicts between state and federal law would be resolved by applying the "catch all provision" and determining if federal law did not "impair, invalidate or supersede" state law on a case by case basis–in short, the "direct conflict" test.

b. Congress intended for the McCarran-Ferguson Act to be narrowly interpreted and RICO to be broadly construed.

Since the inception of the RICO statutes, the Congress, this Court and the Courts of Appeal have consistently required that RICO, a remedial statute, be broadly interpreted.[26] *See* Pub. L. No. 91-452, § 904(a), 84

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[26] On numerous, recent occasions, this Court has flatly declined invitation to construe RICO narrowly in both

Stat. 947 (1970), stating that RICO must be "liberally construed to effectuate its remedial purposes").

In contrast, Congress intended -- and the courts repeatedly reinforce -- that the MFA must be narrowly construed, especially in areas of "national concern." *Cochran v. Paco,* 606 F.2d 460, 467 (5th Cir. 1979); *accord, State of Idaho ex rel Soward v. United States*, 858 F2d 445, 451 (9th Cir. 1988), *cert denied,* 490 U.S. 1065 (1989). Certainly, as the broad reach and comprehensive criminal and civil sanctions of the RICO statutes evidence, racketeering activity qualifies as a national concern warranting circumscribed application of the MFA. *See Turkette*, 452 U.S. at 588 (noting the national "pervasiveness" of America's racketeering problem as recognized in the preface to the Organized Crime Control Act of 1970).

National Securities and *Fabe* are illustrative of this

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criminal and civil appeals. *See, e.g., H.J., Inc. v. Northwestern Bell Tel. Co.*, 492 U.S. 229, 249 (1989) (noting that any restriction of RICO's broad scope "is a job for Congress"); *Tafflin v. Levitt*, 493 U.S. 455, 467 (1990); *United States v. Monsanto*, 491 U.S. 600, 609 (1989); *Sedima, S.P.R.L. v. Imrex Co.*, 473 U.S. 479, 491 n.10, 497-98 (1985); *Russello v. United States*, 464 U.S. 16, 21 (1983); *Turkette*, 452 U.S. at 593. *See generally,* Blakey & Roddy, *Reflections on Reves v. Ernst & Young: Its Meaning and Impact on Substantive, Accessory, Aiding, Abetting, and Conspiracy Liability Under RICO*, 33 AM. CRIM. L. REV. 1345, 1350 n.7 (1996) (tracing the history of the liberal construction clause and collecting decisions, particularly in the criminal law area).

Court's recognition that Congress intended for the MFA to be narrowly construed. In *National Securities*, this Court expressly noted that the MFA "did not purport to make the states supreme in regulating all the activities of insurance companies," and refused to interpret the MFA as an "overly broad restriction on federal power." *National Securities*, 393 U.S. at 459. *Fabe* was also highly cognizant of the need for a circumscribed holding, commenting, in several passages, upon the "narrowness" of the *Fabe* conclusion.[27] *See Fabe*, 508 U.S. at 508, 509 n.8, 512. The broad construction of the MFA and narrow application of RICO advocated by Petitioners is hopelessly inconsistent with the clear Congressional intent behind these legislative efforts.

Additionally, RICO's express "no supersession" clause further evidences the post-MFA intent of Congress that RICO be employed in conjunction with all other remedies -- state or federal. Congress specifically provided that the RICO remedies would not be construed to "supersede any provision of Federal, State, or other law . . . affording civil remedies in addition to those provided for in this title."[28] *See Turkette*, 452 U.S. at 587 n.9 (quoting Pub.

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[27] Where a displacement of the other body of law is incomplete, the preemption standard is necessarily the "actual conflict" standard. *See, e.g., California Coastal Comm'n v. Granite Rock Co.*, 480 U.S. 572, 581 (1987); *California Fed. Sav. & Loan Ass'n v. Guerra*, 479 U.S. 272, 281 (1987).

[28] RICO does not expressly mention insurance in its text. S. Rep. No. 91, 60, 91st Cong., 1st Sess. 76 (1969), however, includes "insurance" among those legitimate businesses infiltrated by criminal groups. RICO, too, includes mail fraud among its predicate offenses. *See* 18

L. No. 91-452, § 904(a), 84 Stat. 947 (1970)). Explaining the effect of this clause in the criminal context, this Court stated in *Turkette*:

> Thus, under RICO, the States remain free to exercise their police powers to the fullest constitutional extent in defining and prosecuting crimes within their respective jurisdictions. That some of those crimes may also constitute predicate acts of racketeering under RICO is no restriction on the separate administration of criminal justice by the States.

Id. In the correlative civil arena, this clause operates to mandate co-application of RICO and state laws and ensures that the state laws will not be affected, restricted or supplanted by such co-application. *See id.; Haroco, Inc. v. American Nat'l Bank & Trust Co. of Chicago*, 747 F.2d 384, 392 (7th Cir. 1984), *aff'd* 473 U.S. 606 (1985). Thus, it is clear that Congress harbored the express, post-MFA intention that RICO remedies and state insurance regulations operate and exist side by side. Any interpretation of the MFA as limiting this co-application is

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U.S.C. §1961(b). In 1970, it was well-settled that the MFA did **not** preclude criminal prosecutions under mail fraud. *See, e.g., United States v. Sylvanus*, 192 F.2d 96, 100 (7th Cir. 1951), *cert. denied*, 242 U.S. 943 (1952). That Congress should have done more to indicate its intent that RICO apply in the area of insurance fraud is, therefore, doubtful. *Cannon v. University of Chicago*, 141 U.S. 677, 696-97 (1979) (stating that it is "always appropriate to assume that our elected representatives...know...the law").

therefore squarely inconsistent with RICO's express text and violates the mandate of Congress.

B. Federal Rico Does Not Conflict with Nevada's Insurance Or Racketeering Laws

A direct conflict exists between state and federal law where "it is impossible for a private party to comply with both state and federal requirements," *see English*, 496 U.S. at 79 (citing *Florida Lime & Avocado Growers, Inc.*, 373 U.S. at 142-43), or where one law "stands as an obstacle to the accomplishment and execution of the full purposes and objectives of" the legislative body adopting the other. *Id.*, (quoting *Hines v. Davidowitz*, 312 U.S. 52, 67 (1941)). RICO does not conflict with Nevada's insurance regulatory system because an insurer can -- and should -- simultaneously comply with federal RICO and with the Nevada insurance regulations, as well as all other aspects of Nevada law, including Nevada's racketeering statutes. The application of federal RICO's civil remedial provisions erects no barrier to the full enforcement of Nevada's regulatory remedies by the State Insurance Commissioner, or by Nevada's Attorney General. This lack of direct conflict is evident under the precedent of this Court because of the harmonious policies of the state and federal system, the peaceful coexistence of their cumulative remedies, and the presence of multiple state remedies applicable and actually applied to the exact same fraudulent conduct.

1. The Policies Behind the Federal and State Laws Are Compatible.

The federal policies embraced by RICO and the legislative purpose behind either the Nevada Trade

Practices and Frauds; Financing of Premiums Act or, alternatively, the Nevada racketeering statutes, are in no way incompatible. Federal RICO was adopted to provide liberal remedies to those victimized by patterns of criminal behavior. *Sedima,* 473 U.S. at 487. Obviously, the Nevada racketeering statute was adopted to address the exact same concerns. *See Hale v. Burkhardt*, 764 P.2d 866, 867 (Nev. 1988) (noting that Nevada state RICO is "patterned after" federal RICO). Not inconsistently, the asserted purpose of the Nevada insurance regulatory scheme "is to regulate the trade practices in the business of insurance . . . which constitute unfair methods of competition or unfair or deceptive acts or practices and by prohibiting [such] trade practices. . . ." NEV. REV. STAT. § 686A.010. Although the federal RICO remedy does not exclusively affect matters addressed by the Nevada statutes, the remedies in both schemes seek to deter and redress unfair or deceptive trade practices.[29]

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[29] Following the District Court, 827 F. Supp. at 1522 n.33 ("exclusive jurisdiction" implies limited recovery for insurance fraud), Petitioners contend that Nevada's RICO statute does not encompass insurance fraud. *See* Petitioners' Brief at 7 n.4 & at 23. At the outset, if Humana really believed this true, it would not have coerced a settlement of the State of Nevada RICO criminal complaint. *See supra* note 7. Regardless, Humana's analysis is erroneous. It posits that fraud by the insured (NEV. REV. STAT. §§ 686A.290-291), but not fraud by the insurer (NEV. REV. STAT. §§ 686A.020, 686A.030 and 686A.40) was incorporated into NEV. REV. STAT. §207.360 *et. seq.* In response, while the insurance commissioner's jurisdiction to regulate is "exclusive," that jurisdiction is fully consistent with offenses covering the "same" conduct

2. Different Remedies Do Not Give Rise to a Conflict.

The co-application of the variant remedies afforded by federal RICO and the Nevada regulatory scheme do not

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defined outside of the Nevada Insurance Code, NEV. REV . STAT. § 679A.180 (1), and with implied and express private claims for relief for insurance fraud by the insurer but not the insured. *See Crystal Bay Gen. Improvement District v. Aetna Casualties & Sur. Co.,* 713 F. Supp. 1371, 1375-77 (D. Nev. 1989). An insured may also sue the insurer under common law theories for fraud. *See, e.g., Bankers Trust Co. v. Pacific Employers Inc., Co.,* 282 F.2d 106, 110 (9th Cir. 1960) (applying Nevada law and permitting private tort suit against insurer for deceit), *cert. denied,* 368 U.S. 822 (1961). In addition to the express provisions for insurance fraud, the predicate offenses in NEV. REV. STAT. §207.360 also include obtaining money by false pretenses – conduct involved in this Petition. In fact, Deputy Attorney General Barlow relied upon this statutory authority in preparing the Nevada RICO criminal complaint against Humana for the unlawful over-billing. *See supra* note 7. The contention that NEV. REV. STAT. §207.350 *et. seq.* does not, therefore, apply to fraud by an insurer against an insured cannot be credibly maintained.

Moreover, NEV. REV. STAT. §686.291 (1) (b) itself applies to the conduct at issue in this Petition. By its terms, it is not limited to conduct by an insured, as are the other three subsections of the provision. *See Russello*, 464 U.S. at 22. As such, Subsection (1) (b) protects the integrity of the claims process from fraud by either the insurer or insured.

give rise to a conflict. This Court's decisions unequivocally recognize that additional and different yet non-conflicting remedies are not preemptive.

In *Silkwood v. Kerr-McGee*, 464 U.S. 238 (1984), this Court observed that the proper approach to preemption was to consider "whether there is an irreconcilable conflict between the federal and state standards or whether the imposition of a state standard in a damages action would frustrate the objectives of the federal law." *Id.* at 256. That approach in hand, this Court squarely upheld the concurrent imposition of federal fines and state punitive damages for the **same** tort, rejecting the related argument that the award of punitive damages for radiation hazards was barred because it conflicted with the federal remedial scheme, and finding no conflict between the federal and state laws. As this Court observed:

> Paying both federal fines and state-imposed punitive damages for the same incident would not appear to be physically impossible. Nor does exposure to punitive damages frustrate any purpose of the federal remedial scheme.

Silkwood, 464 U.S. at 257.

Subsequent opinions of this Court consistently follow the trail marked by *Silkwood*, and have found preemption inapplicable to the concurrent assessment of federal fines and state fraud damage awards for cigarette advertising disclosure violations, *Cipollone v. Liggett Group, Inc.*, 505 U.S. 504, 546 (1992), anti-trust violations, *California v. ARC Am. Corp.*, 490 U.S. 93 (1989) (permitting levy of federal **treble damages**

simultaneously with state fraud damages), nuclear whistle-blower actions, *English*, 496 U.S. at 89-90 (rejecting concerns that prospective litigants will forego administrative remedies for broader tort recovery and approving concurrent application of administrative remedies under the Energy Reorganization Act of 1974 and compensatory and punitive damages for state tort claims), and medical safety breaches. *Hillsborough County v. Automated Medical Labs., Inc.*, 471 U.S. 707, (1985). Thus, this Court has established beyond question that where "state and federal rules [ ] are substantially identical but differ in penalty, [they] do not conflict with or displace each other," and may (and indeed, should) be applied simultaneously. *American Family*, 978 F.2d at 297.

Federal RICO permits an injured plaintiff to recover for the same illegal or fraudulent activities proscribed by the Nevada insurance administrative scheme and the Nevada racketeering statutes. Both systems punish insurers engaging in fraudulent insurance practices though, as Petitioners note, RICO necessarily provides broader remedies than many state insurance schemes employ. *But see infra* note 35. This slight divergence between the remedial magnitudes of the state insurance system and federal RICO, however, is not dispositive, especially given the Nevada racketeering statutes.

As this Court recognized in *Silkwood*, tension between state and federal remedies must be tolerated. *Silkwood*, 464 U.S. at 256. This principle also pervades *California v. ARC America Corp.*, wherein this Court acknowledged that "ordinarily, state causes of action are not pre-empted solely because they impose liability over and above that authorized by federal law." 490 U.S. at 105. As RICO merely provides more flexible procedures or

greater remedies and compliance therewith does not force a violation of or overrule state law, there is no preemptive conflict between these remedies.

3. Supplementation Is Not Conflict.

This Court's decisions also reflect an understanding that supplementary remedies do not give rise to preemption but rather, further the remedial purposes behind the individual remedies. In *Cipollone v. Liggett Group, Inc.*, 505 U.S. at 516, this Court noted:

> In the absence of an express congressional command, state law is preempted if that law actually conflicts with federal law, or if federal law so thoroughly occupies a legislative field "as to make reasonable the inference that Congress left no room for the States to supplement it."

505 U.S. at 516 (quoting *Fidelity Fed. Sav. & Loan Ass'n v. De la Cuesta*, 458 U.S. 141, 153 (1982)). Reasoning that supplementation is not conflict sufficient to invoke the Supremacy Clause, this Court held that state common law claims against cigarette manufacturers were not preempted by federal laws regulating warning labels. *Id.*

This Court reiterated the propriety of the co-application of supplemental but not directly conflicting remedies in *Medtronic, Inc. v. Lohr,* 518 U.S. 1087, 116 S. Ct. 2240 (1996). In support of the *Medtronic* holding that the availability of federal remedies under the Food, Drug and Cosmetic Act does not preempt state tort remedies for the same conduct provided the requirements of state and federal law are consistent, this Court reasoned:

> The presence of a[n additional] damages remedy does not amount to [a] . . . different "requirement" rather, it merely provides another reason for manufacturers to comply with identical existing "requirements" under federal law.

Medtronic, 116 S. Ct. at 2255. Justice O'Connor's concurrence further elucidates the rationale behind and necessity for permissive co-application of federal and state remedies:

> **To be sure, the threat of a damages remedy will give [tortfeasors] an additional cause to comply,** but the requirements imposed on them under state and federal law do not differ. [Federal law] does not preclude states from imposing different or additional remedies, but only different or additional requirements.

Id. at 2264 (O'Connor, J., concurring in part and dissenting in part) (emphasis added).

The compatibility and allowance for joint implementation of federal RICO and the Nevada State insurance regulation scheme is also made apparent by the existence of Nevada's own state RICO statutes (which the Nevada Attorney General sought to apply to Humana's fraudulent conduct in this case). *See supra* note 7. Compatibility is further demonstrated by Nevada's common law remedies for insurance fraud, the availability of a private right of action under Nevada's insurance scheme and Nevada's allowance of treble punitive damages.

Like the federal RICO statutes, Nevada's racketeering scheme prescribes civil remedies (treble damages, attorneys fees and costs and civil forfeiture)[30] and criminal penalties (punitive fines[31] and criminal forfeiture) for engaging in a racketeering enterprise. *See* NEV. REV. STAT. §§ 207.350-520. As Nevada RICO parallels the remedies provided by federal RICO, any purported "impairment" of the state insurance regulatory system feared by Petitioners has already been effected by Nevada's own RICO statutes.[32] Humana's real complaint is that the

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[30] *See* NEV. REV. STAT. § 207.460-470.

[31] In addition to criminal forfeiture, Nevada's racketeering laws provide for imposition of a criminal fine not to exceed three times the greater of: 1) the racketeer's gain, or 2) his victim's actual loss. *See* NEV. REV. STAT. § 207.410.

[32] Similar considerations regarding Pennsylvania's general consumer protection statutes impacted the Third Circuit's holding in *Sabo* that RICO did not "invalidate, impair, or supersede" the state insurance regulation scheme. As the panel explained:

> [Pennsylvania's] general consumer protection statute, [which] provides a private remedy and treble damages for victims of insurance fraud . . . certainly undercuts any purported balance struck by the Pennsylvania legislature favoring administrative enforcement to the exclusion of private damages actions and we see no reason why a federal private right of action cannot coexist with the [Pennsylvania

sweetheart deal it cut with the Nevada Insurance Commissioner to eliminate the Nevada RICO **criminal** charges being pursued against it did not and could not eliminate civil RICO remedies. This highlights the reasons why implementation of federal RICO remedies to the same activities covered by the state racketeering laws would certainly not constitute impairment and will only bolster the remedial goals of the state RICO scheme.

In addition to the state RICO remedy, the treble damages available under federal RICO are identical to those offered by Nevada's common law fraud statutes. In addition to the Nevada RICO statute, the Nevada legislature has authorized a common law fraud plaintiff to recover treble punitive damages for fraudulent conduct in addition to compensatory or actual damages.[33] Hence, whereas federal RICO allows treble actual damages, Nevada general law authorizes **four** times actual damages (i.e., compensatory damages, plus treble punitive damages).

Further proof of the complete absence of "impairment" in this case of the Nevada state system by

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scheme] in these circumstances.

Sabo, 137 F.3d at 195 (internal citations omitted).

[33] *See* NEV. REV. STAT. § 42.005 (permitting recovery of punitive damages for fraud but limiting such award to treble compensatory damages). Prior to the 1989 enactment of § 42.005, a Nevada fraud claimant's recovery of punitive damages was limited only by a reasonableness standard and was not required to bear any proportion to compensatory damages. *See Amoroso Constr. Co. v. Lazovich & Lazovich*, 810 P.2d 775, 778 n.1 (Nev. 1991).

federal RICO is the availability of a private right of action under the Nevada Unfair Insurance Practices Act itself. Although an **express** private cause of action has only been prescribed by the Act since 1987, an **implied** right has been available since the Act's inception. *Crystal Bay* 713 F. Supp. At 1377, *cited with approval in Hart v. Prudential Property & Casualty Ins. Co.*, 848 F. Supp. 900, 903 (D. Nev. 1994). The Nevada district court has reasoned that private remedies for insurance practices governed by the Nevada regulatory scheme are beneficial, desirable and "entirely consistent with the underlying purpose of the legislative scheme" because "the insurance commissioner does not have the staff and resources to investigate" the claim of each aggrieved insured. *Crystal Bay*, 713 F. Supp. at 1377.[34] Thus, the affirmation of the Ninth Circuit's holding in this case will not only be consistent with this Court's precedent and serve to effectuate Congress' intent in enacting the MFA, it will aid Nevada's statewide efforts to combat patterns of fraudulent insurance activity.

Given the availability of state racketeering and other

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[34] Petitioners attempt to avoid the fatal impact of the *Crystal Bay* case by contending that the absence of a Nevada Supreme Court opinion authorizing the pre-1987 implied private right of action somehow renders the federal courts' comprehensive analysis nugatory. *See* Petitioners' Brief at 7, n.4. Petitioners cite no authority in support of their argument that there is no pre-1987 private remedy for insurance practices. Moreover, two Nevada federal district courts have so held. *See Crystal Bay* and *Hart*. Further, one of those opinions, *Hart*, was penned by the very same federal judge (the Hon. Phillip Pro) who authored the MFA and RICO preemption opinion in this case.

civil remedies to insurance fraud, the co-application of federal RICO with Nevada's insurance regulatory system will not open the floodgates to litigation,[35] it will have a

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[35] Federal RICO actually only reaches a discrete subset of general insurance fraud, as it requires the presence of an "enterprise" and a "pattern of racketeering activity," elements "unknown to common law." *Agency Holding Corp. v. Malley-Duff & Assoc., Inc.*, 483 U.S. 150, 153 (1987) (noting the "sui generis nature of RICO"). Although the use of RICO to combat insurance fraud is already a well-established part of criminal and civil RICO litigation, *see, e.g., Russello,* 464 U.S. at 21 (1983); *United States v. Starnes*, 644 F.2d 673 (7th Cir. 1981), *cert. denied*, 454 U.S. 1981); *Schact v. Brown*, 711 F.2d 1343 (7th Cir.) *cert. denied*, 464 U.S. 1002 (1983); *North Carolina ex. Rel. Long. v. Alexander & Alexander Servs. Inc.*, 680 F. Supp. 746, 749-51 (E.D.N.C. 1988); Hon. James S. Long & Donald M. Wright, RICO Law, *Practice and Issues in the Context of Insurance Insolvency*, 9 JOURNAL OF INS. REG. 343, 374 (1991), RICO claims do not currently constitute a large or growing faction of civil litigation. From 1980-1996, the number of civil cases filed in federal courts increased from 168,800 to 272,700 per year. STATISTICAL ABSTRACT OF THE UNITED STATES 1997 at 216 (Table No. 346). The total number of civil RICO cases filled, however, **decreased** from 903 each year to 840 from 1993 to 1997. JUDICIAL BUSINESS OF THE UNITED STATE COURTS 1997 Table C-2A. Accordingly, this Court has no reason to fear that affirming this decision will inspire new RICO litigation that will crowd federal dockets.

This decline in RICO filings is best explained by this Court's much-awaited "pattern" decision in *H.J., Inc. v.*

negligible, if any, effect on the courts' dockets because federal civil RICO will merely be an additional (though significant) cause of action that replicates state claims.

As Justice Blackmun stated in *English v. General Electric Company*, "[t]he Court has observed repeatedly that pre-emption is ordinarily not to be implied absent an 'actual conflict.' The 'teaching of this Court's decisions enjoin[s] seeking out conflicts between state and federal regulation where none clearly exists.'" *English*, 496 U.S. at 90 (quoting *Huron Portland Cement Co. v. Detroit*, 362 U.S. 440, 446 (1960)) (internal citations omitted). Accordingly, because no direct and clear conflict exists between federal RICO and Nevada's private remedies for insurance practices or, alternatively, Nevada's applicable state racketeering statute, the only appropriate holding on the effect of the MFA on RICO's application to insurance fraud is that offered by the Ninth Circuit in *Merchants* and in the instant case.

C. Public Policy Compels the Availability of RICO Remedies to Insurance Fraud

The blight of health care fraud has recently crept to the forefront of public attention and law enforcement efforts. The United States Attorney General properly characterizes health care fraud as the second biggest criminal problem in the United States (next to terrorism). Thomas O'Donnel, *Clinton Enters Fray Over Health-Care Fraud*, DENV. BUS. J., July 18, 1997, at 15B. Insurance

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Northwestern Bell Tel. Co., 492 U.S. 229, 236-49 (1989), which narrowed the scope of RICO applicability. *See* Blakey & Roddy, *supra* note 26.

scams and kickbacks are identified as a major vehicle for criminal enterprises that pirated as much as 20% of national health care expenditures in 1994 alone. Jay Greene, *FBI Takes a Bite out of Healthcare Crime*, MOD. HEALTHCARE, Apr. 29, 1996, at 126. "Health care fraud, it appears, is evolving just as rapidly as the medical marketplace," Julie Johnson, *Managed Care Fraud: To Track Down Crime, Federal Officials Follow the Money Trail*, AM. MED. NEWS, May 20, 1996, at 3, and the present health care fraud crisis is marked by "obvious and deeply disturbing" parallels to the early stages of the savings and loan debacle. Blakey & Perry, *An Analysis of the Myths that Bolster Efforts to Rewrite RICO and the Various Proposals for Reform: "Mother of God -- Is This the End of RICO?,"* 43 VANDERBILT L. REV. 851, 892 n.115 (1990).

As this case demonstrates, Humana was an innovator of health care fraud with its illicit billing scheme. Key employees in Humana did not change their practices after being caught red-handed in this case. Humana simply merged with, and changed its name to, Columbia/HCA. Health care fraud by Columbia/HCA presently offers the highest profile in the unfortunate health care fraud line up. One reporter observed, "it is rare to pick up a daily newspaper anymore without seeing a news account about possible health-care fraud at Columbia/HCA Healthcare Corp. . . ." *Two Big For-Profit Hospital Chains Face Consumer Foes*, PITT. POST-GAZETTE, Aug. 5, 1997, at E1.

Although the state administrative remedies for insurance fraud and state RICO statutes are currently a helpful tool in the war against health care predators who prey on guileless patients, federal RICO is a powerful complementary private right of action against these

offenders.[36] The state and federal systems necessarily share a common goal of eradication of fraudulent insurance practices. Application of federal RICO remedies only furthers the laudable policies that the state and federal remedies share. *See Herman & McLean v. Huddleston*, 459 U.S. 375, 386 (1983) (application of cumulative remedies furthers their remedial purposes). Moreover, the presence of federal criminal and civil RICO penalties for health care fraud is particularly important because federal authorities and courts are typically not as malleable as the Nevada Insurance Commissioner was in this case.[37] For these reasons, while state and federal racketeering statutes may theoretically address the same unlawful conduct, the

[36] *See Agency Holding Corp.*, 483 U.S. at 151 (recognizing the necessity for "private attorneys general [for] a serious national problem for which public prosecutorial resources are deemed inadequate"); *Shearson/American Express, Inc. v. McMahon*, 402 U.S. 220, 241 (1987) (suggesting the need for "vigorous incentives for plaintiffs to pursue RICO claims); *Sedima*, 473 U.S. at 493 ("private attorney general provision . . . [is] designed to fill prosecutive gaps") (citing *Reiter v. Sonotone Corp.*, 442 U.S. 330, 344 (1979) (anti-trust)). RICO, like the anti-trust statutes, is well-integrated. "There are three possible kinds of force which a firm can resort to: violence (or the threat of it), deception or market power." CARL KAYSEN & DONALD TURNER, ANTI-TRUST POLICY: AN ECONOMIC AND LEGAL ANALYSIS 17 (1995). RICO focuses on the first two; anti-trust focuses on the third. Just as the anti-trust statutes seek to maintain economic freedom in the marketplace, RICO seeks to promote integrity in the market place – physical or fiscal.

[37] *See supra* notes 9-10 and accompanying text.

practical effect of a dual federal-state remedy is significantly greater deterrence.

The far reaching implications that MFA preemption of RICO would have should be a major concern. To hold that RICO application to insurance fraud is automatically preempted by the MFA merely because there is some state insurance regulation would preclude application of RICO's civil remedies **and criminal penalties** alike.[38] The text of

[38] Those courts of appeal and others that seek to draw a distinction between criminal prosecutions and civil litigation under RICO for the purpose of the MFA are, at best, disingenuous. *See, e.g., United States v. Blumeyer*, 114 F.3d 758, 768 (8th Cir.) (criminal mail fraud distinguished from civil RICO), *cert. denied*, 118 S. Ct. 350 (1997); Brief for United States As Amicus Curiae at 18 (same). As this Court has recognized, if an area of law is preempted civilly, it is, of course, preempted criminally. *See, e.g., United States v. Hutcheson*, 312 U.S. 219, 234-35 (1941) (labor) ("[Split preemption] is not the way to read the will of Congress."). *See also English*, 496 U.S. at 83 (rejecting the notion that preemption can apply in civil cases but not in criminal cases); *United States v.DeLaurentis*, 491 F.2d 208, 210-14 (2nd Cir. 1974) (labor preemption precludes Civil Rights Act criminal prosecution); *United States v. Bailey*, 120 F. Supp. 614, 632-33 (S.D. S.Va. 1954) (same). In fact, criminal prosecutions are generally preempted or not analyzed under precisely the same standards applicable to civil litigation. *See, e.g., United States v. Cavin*, 39 F.3d 1299, 1305 (5th Cir. 1994) (federal criminal prosecution not preempted under MFA unless "conflict"; "completely compatible" with the state's regulatory interest) (citing *National*

the MFA differentiates not between civil and criminal federal statutes. If the interpretation of the MFA's fourth prong urged by Petitioners is accepted, virtually **all** federal criminal laws potentially applicable to insurance fraud would be preempted because most (if not all) criminal penalties necessarily differ from the generally more lenient civil administrative remedies prescribed by state insurance regulations. Such application of the MFA would hobble law enforcement and proliferate health care fraud. Clearly, such a result was not intended by Congress when it enacted the MFA, nor is it in the best interests of our Nation.

Cardozo put it well: "Consequences cannot alter statutes, but may help fix their meaning. Statutes should be so construed, if possible, that absurdity and mischief be avoided." *In Matter of Rouss*, 116 N.E. 782, 785 (N.Y. 1917). This Court should heed these words and ought not create a safe harbor for crime under the MFA where its language, intent, and legislative history clearly does not compel one.

Securities, 393 U.S. at 453). On the relation between civil and criminal RICO, see *Sedima*, 473 U.S. at 489; *Shearson/American Express,* 482 U.S. at 239; *H.J. Inc.*, 492 U.S. at 236; *cf. United States Ex. Rel. Marcus et. Al. v. Hess*, 317 U.S. 537, 542 (1943) (False Claims Act); *Northern Sec. Co. v. United States*, 193 U.S. 197, 401 (1904) (Holmes, J. dissenting) ("The words cannot be read one way in a suit which is to end in fine and imprisonment and another way in one which seeks an injunction.").

CONCLUSION

For the foregoing reasons, this Court should affirm the Ninth Circuit's holding that the MFA does not preclude application of federal RICO to the fraudulent overbilling by Humana Insurance in this case.

September 18, 1998.

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